

UPSC Practice Examination

Date: 06 June 2026 | Maximum Marks: 165 | Time: 3 Hours

Topics: CA Week 1 June 2026 | Indian Economy: Indicators, Inflation, Price Indices | Modern World History: Geographical Discoveries (Jain & Mathur Ch.1–2)

INSTRUCTIONS:

- Section A — MCQs: +2 for correct answer, -0.66 for wrong answer, 0 for unattempted.
- Sections B and C — Attempt ALL questions. Write in your answer register.
- Section D (Essay) — Attempt ANY ONE of the two given options.
- Rough work, if any, must be done on a separate sheet — not on the answer register.
- No clarification will be entertained during the examination.

SECTION A — MULTIPLE CHOICE QUESTIONS (35 Questions × 2 Marks = 70 Marks | Negative Marking: -0.66 per wrong answer)

■ Part 1 — Conceptual (Q.1–10) | 20 Marks

Q1. The base year currently used for India's Wholesale Price Index (WPI) is:

- | | |
|-------------|-------------|
| (A) 2004-05 | (B) 2010-11 |
| (C) 2011-12 | (D) 2017-18 |

Q2. Which institution compiles and publishes the WPI in India?

- | | |
|---|--|
| (A) Reserve Bank of India | (B) National Statistical Office (NSO) |
| (C) Office of the Economic Adviser, Ministry of Commerce & Industry | (D) Central Board of Direct Taxes (CBDT) |

Q3. 'Stagflation' is defined as a situation of:

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|--|--|
| (A) High economic growth with high inflation | (B) Low unemployment with rapidly rising prices |
| (C) High inflation coexisting with economic stagnation | (D) Deflation accompanied by a rising fiscal deficit |

Q4. The GDP Deflator differs from CPI primarily because:

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|---|--|
| (A) GDP Deflator covers only imported goods; CPI does not | (B) GDP Deflator is based on a fixed basket of goods; CPI is not |
| (C) CPI uses a fixed market basket; GDP Deflator covers all domestically produced goods | (D) GDP Deflator is published monthly; CPI is published annually |

Q5. Which of the following is NOT a component group covered under India's Consumer Price Index (CPI)?

- | | |
|-------------------|-------------------|
| (A) Housing | (B) Fuel & Light |
| (C) Capital goods | (D) Miscellaneous |

Q6. The Treaty of Tordesillas (1494) divided the newly discovered world between:

- | | |
|----------------------------------|----------------------------------|
| (A) England and France | (B) Spain and Portugal |
| (C) Portugal and the Netherlands | (D) Spain and the Ottoman Empire |

Q7. Vasco da Gama's arrival in Calicut in 1498 primarily broke the commercial monopoly of:

- | | |
|---|--|
| (A) The British East India Company over Indian textiles | (B) Arab and Venetian traders over the Eastern spice trade |
| (C) The French over Indian Ocean commerce | (D) The Ottoman Empire over the Atlantic trade route |

Q8. 'Demand-pull inflation' is caused by:

- | | |
|---|--|
| (A) Rising cost of raw materials and wages | (B) Supply-side shocks like crop failure or oil price spikes |
| (C) Excess aggregate demand persistently exceeding aggregate supply | (D) A deliberate reduction of money supply by the central bank |

Q9. Which of the following is a direct quantitative instrument of monetary policy used by the RBI?

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|----------------------------------|-------------------------------------|
| (A) Income Tax rates | (B) Statutory Liquidity Ratio (SLR) |
| (C) Goods and Services Tax (GST) | (D) Minimum Support Price (MSP) |

Q10. The first European nation to systematically establish a sea route to India, bypassing the overland spice trade routes, was:

- | | |
|-----------------|--------------|
| (A) Britain | (B) Spain |
| (C) Netherlands | (D) Portugal |

■ **Part 2 — Advanced (Q.11–20) | 20 Marks**

Q11. Consider the following statements about India's WPI:

1. WPI includes the services sector in its calculation.
2. Manufactured products have the highest weightage in the WPI basket.
3. The current WPI series uses 2011-12 as the base year.

Which of the above statements is/are correct?

- | | |
|------------------|------------------|
| (A) 1 and 2 only | (B) 2 and 3 only |
| (C) 1 and 3 only | (D) 1, 2 and 3 |

Q12. The 'Fisher Effect' in economics states that:

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|--|---|
| (A) Inflation always reduces nominal GDP growth | (B) The nominal interest rate equals the real interest rate plus expected inflation |
| (C) Real wages rise faster than nominal wages during periods of high inflation | (D) Money supply and the general price level are inversely related |

Q13. Consider the following statements about Core Inflation:

1. Core Inflation excludes volatile food and fuel prices from CPI.
2. It is considered a better indicator of structural, long-term price trends.
3. RBI's inflation targeting framework uses Core CPI as the headline target.

Which of the above is/are correct?

- | | |
|------------------|----------------|
| (A) 1 only | (B) 3 only |
| (C) 1 and 2 only | (D) 1, 2 and 3 |

Q14. Which of the following statements about NITI Aayog is INCORRECT?

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|---|--|
| (A) It replaced the Planning Commission in January 2015 | (B) It has the power to directly allocate funds to State governments |
| (C) Chief Ministers of all states are part of its Governing Council | (D) It functions as a policy think tank providing strategic advice to the government |

Q15. The Mercantile System (Mercantilism) was based on which of the following beliefs?

1. National wealth is best measured by accumulated stocks of gold and silver.
2. Colonies should supply raw materials and serve as captive markets for the mother country.
3. Free and unrestricted trade between all nations maximizes global welfare.

Select the correct answer:

- | | |
|------------------|------------------|
| (A) 1 and 2 only | (B) 2 and 3 only |
| (C) 1 and 3 only | (D) 1, 2 and 3 |

Q16. The 'Encomienda' system, introduced by Spanish colonizers in the Americas, refers to:

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|---|---|
| (A) A form of maritime insurance used by the Portuguese in the Atlantic trade | (B) A grant giving Spanish settlers the right to indigenous labour and tribute in exchange for Christianization |
| (C) A bilateral trade treaty between Spain and indigenous American chieftains | (D) A navigational method used by Columbus to calculate longitude |

Q17. The original Phillips Curve depicted a short-run trade-off between:

- | | |
|----------------------------------|--|
| (A) Inflation and interest rates | (B) GDP growth and the current account deficit |
| (C) Unemployment and inflation | (D) Money supply and the exchange rate |

Q18. Which of the following gives the correct chronological sequence of events in the Age of European Exploration?

1. Columbus reaches the Americas
2. Vasco da Gama reaches India
3. Treaty of Tordesillas
4. Magellan's circumnavigation of the globe

Select the correct order:

(A) 3 → 1 → 2 → 4

(B) 1 → 3 → 2 → 4

(C) 3 → 2 → 1 → 4

(D) 2 → 1 → 3 → 4

Q19. In the context of India's inflation measurement framework, which of the following is correct?

(A) WPI measures retail prices; CPI measures wholesale prices

(B) RBI uses WPI as the headline inflation indicator for its inflation targeting mandate

(C) RBI uses CPI (Combined) as the headline inflation indicator for its inflation targeting framework

(D) Both WPI and CPI always move in the same direction and magnitude

Q20. The Commercial Revolution in Europe (preceding the Industrial Revolution) resulted in which of the following?

1. Rise of joint-stock companies and limited liability partnerships
2. Expansion of credit, banking systems and insurance in Western Europe
3. A sharp and sustained decline in feudalism and serfdom across Asia

Which is/are correct?

(A) 1 only

(B) 1 and 2 only

(C) 2 and 3 only

(D) 1, 2 and 3

■ **Part 3 — Current Affairs: June Week 1, 2026 (Q.21–30) | 20 Marks**

Q21. The India–Oman Comprehensive Economic Partnership Agreement (CEPA) came into force on:

(A) 15 May 2026

(B) 1 June 2026

(C) 5 June 2026

(D) 1 April 2026

Q22. India's newly operational South Coast Railway Zone (SCoR) has its headquarters at:

(A) Chennai

(B) Hyderabad

(C) Visakhapatnam

(D) Kochi

Q23. The South Coast Railway Zone (SCoR) is India's _____ railway zone:

(A) 16th

(B) 17th

(C) 18th

(D) 19th

Q24. The 'JAI' vision articulated by India's Chief of Defence Staff (CDS) in June 2026 stands for:

- | | |
|---|--|
| (A) Joint Operations, Agility, Intelligence | (B) Jointness, Atmanirbharta, Innovation |
| (C) Jointness, Affordability, Integration | (D) Joint Forces, Armament, Interoperability |

Q25. 'Mission Senehjori', launched by the Government of India, is related to:

- | | |
|---|--|
| (A) Solar energy cluster development in Northeastern states | (B) Strengthening the Muga silk value chain through cluster-based approach |
| (C) Defence modernization in border regions | (D) Tribal welfare under the Forest Rights Act |

Q26. In June 2026, NPCI extended UPI acceptance to which country through a partnership with ACLEDA Bank?

- | | |
|--------------|-----------------|
| (A) Vietnam | (B) Philippines |
| (C) Cambodia | (D) Myanmar |

Q27. According to data highlighted in June 2026, India added approximately how much solar capacity in 2025, surpassing the USA?

- | | |
|-----------|-----------|
| (A) 25 GW | (B) 30 GW |
| (C) 37 GW | (D) 45 GW |

Q28. The white paper on Kerala's finances (June 2026) estimated the state's outstanding liability at approximately what percentage of its GSDP?

- | | |
|-----------|-----------|
| (A) 25.5% | (B) 30.0% |
| (C) 35.5% | (D) 42.0% |

Q29. 'Namo Oxygen Parks', inaugurated on World Environment Day (5 June 2026), were established in which city?

- | | |
|------------|---------------|
| (A) Mumbai | (B) Bengaluru |
| (C) Delhi | (D) Chennai |

Q30. The India–Oman CEPA covers which of the following domains?

1. Trade in goods
2. Trade in services
3. Investment protection
4. Intellectual property

Select the correct answer:

- | | |
|---------------------|---------------------|
| (A) 1 and 2 only | (B) 1, 2 and 3 only |
| (C) 1, 2 and 4 only | (D) 1, 2, 3 and 4 |

■ **Part 4 — CSAT: Logical & Analytical Reasoning (Q.31–35) | 10 Marks**

Q31. Study the following data on India's monthly CPI inflation (%) and answer the question:

Month	CPI Inflation (%)
January 2026	4.2
February 2026	4.7
March 2026	3.9
April 2026	5.1
May 2026	4.4

Assuming RBI's inflation tolerance band is 2%–6%, which of the following conclusions is valid?

- | | |
|--|--|
| (A) All five months violated RBI's inflation target ceiling | (B) CPI remained within RBI's tolerance band throughout all five months |
| (C) April 2026 breached the upper limit of RBI's target band | (D) Inflation showed a consistent declining trend across all five months |

Q32. All price indices measure changes in price levels. WPI is a price index. CPI is a price index. The GDP Deflator is not based on a fixed commodity basket. Which of the following can be definitively concluded from the above?

- | | |
|---|--|
| (A) WPI and CPI always produce identical inflation readings | (B) Both WPI and CPI measure changes in price levels |
| (C) The GDP Deflator is a more accurate measure of inflation than WPI | (D) WPI necessarily covers the services sector |

Q33. RBI : Monetary Policy :: Finance Ministry : ?

- | | |
|-------------------|---------------------------|
| (A) Trade Deficit | (B) Monetary Transmission |
| (C) Fiscal Policy | (D) Agricultural Policy |

Q34. A trader purchases goods at ₹200 per unit. Due to inflation of 15%, market prices rise proportionally. If the trader passes the full price increase to buyers, what is the new selling price per unit?

- | | |
|----------|----------|
| (A) ₹210 | (B) ₹215 |
| (C) ₹225 | (D) ₹230 |

Q35. Read the passage and answer: "The Geographical Discoveries of the 15th and 16th centuries drastically altered global trade patterns. The old land routes through the Middle East, dominated by Arab intermediaries, lost significance. New maritime routes enabled European powers to bypass these intermediaries and trade directly with Asia. This shift transferred enormous wealth to Western Europe and planted the seeds of colonial dominance." Which of the following best captures the PRIMARY consequence described in the passage?

- | | |
|---|---|
| (A) The Arab world gained control of the new maritime sea routes | (B) Asian economies became more prosperous as direct trade with Europe expanded |
| (C) European powers disrupted existing trade networks and accumulated disproportionate wealth | (D) The Middle East emerged as the new centre of global maritime commerce |

SECTION B — MAINS: SHORT ANSWER QUESTIONS (3 Questions × 10 Marks = 30 Marks)

Attempt ALL THREE questions. Write in approximately 150 words each.

- Q3** Examine the key factors that led to European Geographical Discoveries in the 15th and 16th centuries. What were their immediate consequences for the existing Asian and African trade networks?

GS Paper 1 — Modern World History | 10 Marks | ~150 words

- Q3** Distinguish between the Wholesale Price Index (WPI) and Consumer Price Index (CPI) as measures of inflation in India. Which index is more relevant for monetary policy formulation, and why?

GS Paper 3 — Indian Economy | 10 Marks | ~150 words

- Q3** Critically examine the role and limitations of NITI Aayog in India's economic governance framework. How does it differ from the erstwhile Planning Commission in terms of mandate, powers, and approach to development?

GS Paper 2 — Governance & Polity | 10 Marks | ~150 words

SECTION C — MAINS: ANALYTICAL QUESTIONS (2 Questions × 20 Marks = 40 Marks)

Attempt ALL TWO questions. Write in approximately 250 words each.

- Q3** "The India–Oman CEPA marks a strategic shift in India's trade diplomacy." Analyse the economic and geopolitical significance of this agreement for India, with reference to India's Act West Policy, its energy security interests, and the evolving dynamics of the Gulf region.

GS Paper 2 — International Relations | 20 Marks | ~250 words

- Q4** "The Age of Geographical Discoveries transformed the medieval world order and laid the foundations of modern capitalism — but at the cost of systematic exploitation of non-European peoples." Critically examine this statement with reference to the economic and political consequences of European maritime expansion in the 15th–17th centuries.

GS Paper 1 — Modern World History | 20 Marks | ~250 words

SECTION D — ESSAY (1 Essay (attempt any ONE) × 25 Marks)

Attempt ANY ONE of the following. Write in approximately 1000–1200 words. Structure your essay with a clear introduction, body, and conclusion.

- Q4** "Inflation is a tax on the poor." Discuss this statement in the context of India's economic development, the functioning of price indices (WPI and CPI), and the challenge of achieving inclusive growth.

GS Paper 3 — Economy & Social Justice | 25 Marks | ~1000–1200 words

- Q4** [OR] "The Age of Geographical Discoveries was the beginning of globalization, but also the beginning of systematic exploitation." Critically examine.

GS Paper 1 — Modern World History | 25 Marks | ~1000–1200 words

— END OF QUESTION PAPER —

Total: 165 Marks | UPSC Practice Paper | Copilot CLI UPSC Agent